Affle (India) Ltd.

Q4FY22 Result Update | Internet Services

On path to become global mobile ad-tech behemoth

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

May 16, 2022

Affle reported a strong performance in Q4FY22 which was an all-round beat on our estimates despite sequentially being a seasonally weak quarter

- Revenue at INR 3,151 Mn, -7% qoq / +146% yoy and 6% above our estimate
- EBITDA at INR 587 Mn, -13% qoq / +71% yoy and 9% above our estimates (Please refer to note below for additional details)
- EBITDA margin at 18.6% vs 19.9% / 24.3% in Q3FY22 / Q4FY21 and +50 bps vs our estimates
- EBIT at INR 494 Mn, -15% qoq / +69% yoy and +12% vs our estimates
- EBIT margin at 15.7% vs 17% / 20.6% and +90 bps vs our expectations
- Reported PAT at INR 685 Mn, +10% qoq / +17% yoy Reported PAT contains INR 171 Mn of Gain on Fair Valuation of Financial Instruments and INR 9 Mn of Tax Outgo on this gain
- Reported EPS at INR 5.1 vs 4.7 / 4.4 in Q3FY22 / Q4FY21
- Normalized PAT (excluding effects of Gain on Fair Value of Financial Instruments and Tax outgo) stood at INR 527 Mn, -12% qoq / +99% yoy and 16% above our estimates
- Normalized EPS stood at INR 4 vs 4.5 / 2 in Q3FY22 / Q4FY21 and above our est. INR 3.4
- Converted Users in CPCU business stood at 56.6 Mn vs 58.5 Mn / 29.6 Mn in Q3FY22 / Q4FY21
- Average CPCU rate stood at INR 51.1 in Q3FY22 vs INR 51.8 / 40.9 in Q3FY22 / Q4FY21

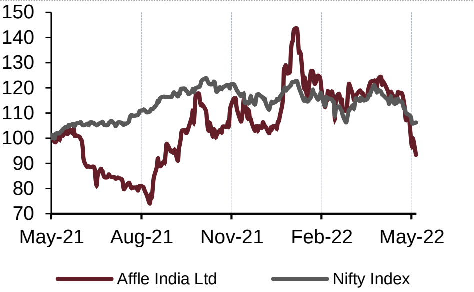
Rating	TP (Rs)	Up/Dn (%)
BUY	**1,408**	**46**

Market data

Current price	**Rs**	**967**
Market Cap (Rs.Bn)	(Rs Bn)	129
Market Cap (US$ Mn)	(US$ Mn)	1,664
Face Value	Rs	2
52 Weeks High/Low	Rs	1511 / 763.02
Average Daily Volume	('000)	370
BSE Code		542752
Bloomberg		AFFLE.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	59.89	59.89
Public	40.11	40.11
Total	**100**	**100**

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22	FY23E	FY23E
Net sales	3,338	5,168	10,827	15,050	19,449
EBITDA	879	1,297	2,144	2,945	4,141
Adjusted net profit	655	1,029	2,181	2,555	3,752
Free cash flow	1,179	1,061	1,540	1,929	3,092
EPS (Rs)	5.2	10.2	16.4	19.2	28.2
growth (%)	30%	95%	61%	17%	47%
P/E (x)	185.0	94.8	59.1	50.4	34.3
P/B (x)	56.2	35.9	10.9	9.0	7.1
EV/EBITDA (x)	145.9	99.0	58.0	40.7	28.3
ROCE (%)	27.4	19.7	13.0	13.5	16.7
RoE (%)	28.6	37.8	18.5	17.8	20.7
Dividend yield (%)	-	-	-	-	-

Source: Company

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Conference Call Key Highlights

- Organic business grew at 45% YoY. Management is confident of delivering strong growth momentum and above industry level growth despite start-up ecosystem and new-age companies facing downtrending funding at macro level. This confidence stems from entire ad spend pattern shifting from traditional channels to mobile and digital ads and driven by Affle's ad tech stack (Affle 2.0)
- Jampp has achieved operating margins of mid-single digits. Management still retains its guidance of consol level 20%+ EBITDA margins over a 12-24 month period as efficiency in Data & Inventory costs plays out in Jampp (as it has played out in Organic business). This is despite the talent supply crunch going on in the tech industry.
- Employee costs grew by 14.5% QoQ contributed by (1) 3.2% due to Hyperinflationary environment in Argentina, (2) 1.8% qoq increase due to ESOPs and (3) Balance due to additional hires
- Problems from increased privacy in Apple are negligible as exposure to Apple is minimal. Additionally, Affle has been a big beneficiary of shift in ad spends from iOS to Google and has already modified its proposal to Apple advertisers under the new ecosystem
- Capitalized $6.9 - $7 Mn in FY22. Expect to invest 4% of revenue in FY23e as investments for innovative solutions.
- FCF in FY22 stood at INR 153 - INR 154 Cr. From Cash flows, INR 53-54 Cr was investment in innovation R&D and INR 2.5 Cr was investment in hardware.
- Affle's user conversion stood at 195 Mn in FY22 and direct advertisers stood at 74% of total clients.

Quarterly Performance Analysis

Exhibit 1

Particulars	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
Converted Users (Mn)	**17.0**	**28.1**	**30.6**	**29.6**	**31.5**	**48.7**	**58.5**	**56.6**
Q-o-Q Growth (%)	*4%*	*65%*	*9%*	*-3%*	*6%*	*55%*	*20%*	*-3%*
Y-o-Y Growth (%)	*2%*	*52%*	*46%*	*82%*	*85%*	*73%*	*91%*	*91%*
Average CPCU (INR)	**41.0**	**40.3**	**41.0**	**40.9**	**42.0**	**51.3**	**51.8**	**51.1**
Q-o-Q Growth (%)	*2%*	*-2%*	*2%*	*0%*	*3%*	*22%*	*1%*	*-1%*
Y-o-Y Growth (%)	*0%*	*-3%*	*0%*	*2%*	*2%*	*27%*	*26%*	*25%*
CPCU Revenue (Mn)	**697**	**1132**	**1255**	**1211**	**1323**	**2498**	**3030**	**2892**
Q-o-Q Growth (%)	*7%*	*62%*	*11%*	*-4%*	*9%*	*89%*	*21%*	*-5%*
Y-o-Y Growth (%)	*2%*	*47%*	*46%*	*85%*	*90%*	*121%*	*142%*	*139%*

Converted users stood at 56.5 Mn in Q4FY22 while Average CPCU rate stood at INR 51.1, softer sequentially due to seasonality in the business

Converted Users dropped 3% qoq and +91% yoy. (non-comparable as Jammp was not present last year)

Source: Dalal & Broacha Research, Company

Exhibit 2 – Quarterly Trend of CPCU and non-CPCU business

Business Segments (as % of Total Revenue)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
Consumer Platform	98.1%	98.5%	98.3%	97.9%	98.8%	99.4%	99.1%	99.1%
Enterprise Platform	1.9%	1.5%	1.7%	2.1%	1.2%	0.6%	0.9%	0.9%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Consumer Platform (as % of Consumer Platform)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22
CPCU	79.3%	85.2%	84.8%	87.3%	87.8%	91.6%	90.2%	92.3%
Non-CPCU	20.7%	14.8%	15.2%	12.7%	12.2%	8.4%	9.8%	7.7%

Consumer Platform	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY21	Q2FY22	Q3FY22	Q4FY22
CPCU	**698.4**	**1132.5**	**1254.4**	**1210.0**	**1322.7**	**2501.2**	**3033.8**	**2882.1**
Q-o-Q (%)	*7%*	*62%*	*11%*	*-4%*	*9%*	*89%*	*21%*	*-5%*
Y-o-Y (%)				85%	17%	99%	151%	138%
non-CPCU	**182.3**	**196.7**	**224.8**	**176.0**	**183.8**	**229.4**	**329.6**	**240.4**
Q-o-Q (%)	44%	8%	14%	-22%	*4%*	*25%*	*44%*	*-27%*
Y-o-Y (%)				39%	-7%	2%	87%	37%
Total Consumer Platform	**881**	**1329**	**1479**	**1386**	**1506**	**2731**	**3363**	**3122**
Q-o-Q (%)	13%	51%	11.3%	-6.3%	*9%*	*-24%*	*123%*	*14%*
Y-o-Y (%)				78%	13%	85%	143%	125%

CPCU business reported a de-growth of 5% qoq and 138% yoy

Non-CPCU business fell 27% qoq and +37% YoY

Enterprise business reported a 7% qoq drop and 5% yoy drop

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Despite seasonality, talent crunch and weak global cues, Affle delivered a strong Q4FY22 performance. Hyperinflation in a step-down subsidiary in Argentina caused costs to increase and adjusting for this, EBITDA margins would have been higher at 19.3% vs 18.6% reported.

Management continues to maintain its strong commentary and aspires to deliver higher than industry level growth coupled with gradual margin expansion as efficiency seeps in Data & Inventory Costs in the Inorganic component.

Given the management's confidence in delivering strong topline CAGR coupled with shift in ad spends from traditional channels such as physical, TV, theatres, etc. we believe that Affle will deliver market leading growth. We therefore revise our estimates for FY23e / FY24e for revenue growth from 30% / 16% to 39% / 29%, EBITDA margins from 21% / 22% to 20% / 21% and EPS from INR 18.7 / 22.9 to INR 19.2 / INR 28.2 respectively.

At current level of INR 967, the stock is trading at 50.4x / 34.2x FY23e / FY24e EPS. Given the weak global economic cues and sentiments, we reduce our applied target multiple from 65x FY24e to 50x FY24e. However, we remain aggressively optimistic on the prospects of the company given the high industry growth rate coupled with Affle's strong fundamentals and therefore recommend a BUY rating on the stock with a target price of INR 1,408.

Financials

Profit & Loss Statement					
YE March (Rs. mn)	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
Revenue from Operatio	3338	5168	10827	15050	19449
% Growth	34%	55%	110%	39%	29%
Operating Expenses					
Inventory and Data Costs	1921	2977	6789	9465	12139
Employee Benefit Expense	273	540	1296	1746	2050
Other Expenses	265	354	597	895	1118
Total Operating Expens	**2459**	**3871**	**8682**	**12106**	**15308**
EBITDA	**879**	**1297**	**2144**	**2945**	**4141**
Growth (%)	*25%*	*48%*	*65%*	*37%*	*41%*
EBITDA Margin (%)	*26%*	*25%*	*20%*	*20%*	*21%*
Less: Depreciation	133	197	324	532	545
EBIT	**746**	**1100**	**1820**	**2413**	**3596**
Growth (%)	*24%*	*48%*	*65%*	*33%*	*49%*
EBIT Margin (%)	22%	21%	17%	16%	18%
Interest Paid	14	36	12	10	9
Other Income	61	415	714	639	879
PBT	**792**	**1479**	**2522**	**3042**	**4466**
Tax Expenses	137	120	340	487	715
Net Profit	**655**	**1359**	**2181**	**2555**	**3752**
Adjust PAT	**655**	**1029**	**2181**	**2555**	**3752**
Growth (%)	*34%*	*57%*	*112%*	*17%*	*47%*
APAT Margin (%)	*20%*	*20%*	*20%*	*17%*	*19%*
EPS	**5.2**	**10.2**	**16.4**	**19.2**	**28.2**
Growth (%)	*30%*	*95%*	*61%*	*17%*	*47%*
Adj. EPS	**5.2**	**10.1**	**15.1**	**19.2**	**28.2**
Growth (%)	*30%*	*94%*	*49%*	*27%*	*47%*

Financial Ratio Analysis					
YE March (Rs. mn)	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
Profitability Ratios					
ROE (%)	29%	38%	18%	18%	21%
ROCE (%)	27%	20%	13%	14%	17%
ROA (%)	12%	12%	9%	8%	10%
Valuation Ratios					
Book Value (Rs.)	17	27	89	108	136
P/E (x)	185	95	59	50	34
P/BV (x)	56	36	11	9	7
EV/EBITDA (x)	146	99	58	41	28
Market Cap. / Sales (x)	39	25	12	9	7
Market Cap	1,28,853	1,28,853	1,28,853	1,28,853	1,28,853
Net Cash	627	460	4562	9139	11687
Net Debt	-627	-460	-4562	-9139	-11687
Dividend Payout Ratio (%)	0%	0%	0%	0%	0%
Current Market Price	967	967	967	967	967

Cash Flow Statement					
Particulars	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
PAT	**655**	**1359**	**2181**	**2555**	**3752**
Less: Non Operating Income	-61	-415	-714	-639	-879
Add: Depreciation	133	197	324	532	545
Add: Interest Paid	14	36	12	10	9
Operating Profit before WC Changes	**742**	**1177**	**1804**	**2458**	**3427**
(Inc)/Dec in Current Assets	-370	-818	-1537	-908	-1806
Inc/(Dec) in Current Liabilities	504	660	2352	577	1020
Net Cash Generated From Operations	**876**	**1019**	**2618**	**2127**	**2641**
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-1182	-2547	-3747	-1241	-1013
(Inc)/Dec in Investment (Strategic)	-37	-978	1013	-517	-250
(Inc)/Dec in Investment (Others)	-12	0	-37	37	0
Add: Non Operating Income Income	61	415	714	639	879
Net Cash Flow from Investing Activities	**-1169**	**-3110**	**-2057**	**-1082**	**-384**
Cash Flow from Financing Activities					
Less: Interest Paid	-14	-36	-12	-10	-9
Net Cash Flow from Financing Activities	**1244**	**1470**	**6198**	**1288**	**-59**
Net Inc/Dec in cash equivalents	**950**	**-622**	**6759**	**2332**	**2198**
Opening Balance	**305**	**1265**	**632**	**6046**	**9725**
Closing Cash and Cash Equivalents	**1255**	**643**	**6046**	**8379**	**11923**

Free Cash Flow Statement					
INR Mn	**FY20**	**FY21**	**FY22**	**FY23E**	**FY24E**
EBITDA	879	1297	2144	2945	4141
FC Investment	9	199	733	1241	1013
WC Changes	134	-158	814	-331	-786
Depreciation Tax Shield	23	16	44	85	87
Tax Expenses	152	105	340	471	663
FCFF	**1179**	**1061**	**1540**	**1929**	**3092**

Source: Dalal & Broacha Research, Company

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